Statement of Comprehensive Income

Northgate Cooperative Society presents its income statement for the year ended 31 December 2025, with quarterly figures for the current year and totals for the previous year. All amounts are stated in thousands of pounds.

Income statement

Table 1: Income statement by quarter, year ended 31 December 2025

£000	Note	Q1	Q2	Q3	Q4	FY 2025	FY 2024
Revenue							
Grocery sales	2	4,120	4,310	4,480	5,220	18,130	16,840
Pharmacy sales	2	880	910	940	1,010	3,740	3,560
Online orders	2	610	700	790	1,120	3,220	2,310
Other income	3	95	102	98	140	435	410
Total revenue		**5,705**	**6,022**	**6,308**	**7,490**	**25,525**	**23,120**
Cost of sales							
Goods purchased	4	(3,380)	(3,490)	(3,610)	(4,240)	(14,720)	(13,620)
Freight and handling		(210)	(220)	(230)	(300)	(960)	(880)
Wastage and shrinkage		(95)	(92)	(101)	(134)	(422)	(395)
Total cost of sales		**(3,685)**	**(3,802)**	**(3,941)**	**(4,674)**	**(16,102)**	**(14,895)**
Gross profit		**2,020**	**2,220**	**2,367**	**2,816**	**9,423**	**8,225**
Operating expenses							
Salaries and wages	5	(1,010)	(1,015)	(1,040)	(1,090)	(4,155)	(3,980)
Rent and rates		(290)	(290)	(290)	(290)	(1,160)	(1,120)
Utilities		(118)	(104)	(97)	(122)	(441)	(415)
Depreciation	6	(160)	(160)	(165)	(170)	(655)	(630)
Marketing		(70)	(85)	(80)	(150)	(385)	(330)
Insurance		(42)	(42)	(42)	(42)	(168)	(160)
IT and software		(88)	(91)	(90)	(96)	(365)	(340)
Professional fees		(35)	(28)	(31)	(52)	(146)	(118)
Other expenses		(64)	(71)	(69)	(88)	(292)	(270)
Total operating expenses		**(1,877)**	**(1,886)**	**(1,904)**	**(2,100)**	**(7,767)**	**(7,363)**
Profit							
Operating profit		**143**	**334**	**463**	**716**	**1,656**	**862**
Interest income		12	13	15	16	56	41

£000	Note	Q1	Q2	Q3	Q4	FY 2025	FY 2024
Interest expense		(31)	(30)	(29)	(28)	(118)	(136)
Profit before tax		**124**	**317**	**449**	**704**	**1,594**	**767**
Tax charge	7	(137)	(170)	(199)	(343)	(849)	(648)
Profit for the year		**(13)**	**147**	**250**	**361**	**745**	**119**

Notes to the statement

Note 1 – Basis of preparation

The statement has been prepared under the historical cost convention. The society has adopted no new accounting standards in the year.

Note 2 – Sales

Sales are recognised when goods are handed to the member or, for online orders, when they are delivered. Sales are shown net of returns and member discounts, which are made up as follows:

(i) dividend discounts for members who shop at least twice a month;

(ii) promotional discounts funded by suppliers;

(iii) returns accepted within fourteen days of purchase.

Note 3 – Other income

Other income consists of rent from the two shop units above the main store and of recycling credits from the local authority.

Note 4 – Goods purchased

Goods purchased include the cost of own-brand products, which rose by nine per cent in the year because of higher packaging costs. The board expects the increase to ease during 2026.

Note 5 – Staff costs

The average number of employees was 186 (2024: 179). Staff costs include employer pension contributions of £212,000 (2024: £198,000).

Note 6 – Depreciation

Depreciation is charged on a straight-line basis over the useful life of each asset, ranging from three years for computer equipment to twenty-five years for the store refit.

Note 7 – Taxation

The tax charge reflects the society's trading profit after the allowances available to co-operative societies. No deferred tax has been recognised.

Note 8 – Related-party transactions

The society purchases produce from member farms that are represented on the board. All such purchases are made at the same prices as those offered to other suppliers, and no board member took part in any pricing decision. The total value of these purchases in the year was £2,140,000 (2024: £1,960,000), and the amount owed at the year end was £188,000.

Note 9 – Events after the reporting date

In February 2026 the society signed a lease for a third store in the east of the town. The lease starts in September 2026 and the fit-out is expected to cost £1,350,000, which will be funded from reserves and a bank loan. No adjustment has been made to the figures in this statement.

Note 10 – Dividend to members

The board proposes a dividend of 4.5 pence in the pound on members' purchases, payable in May 2026 subject to approval at the annual general meeting. The proposed dividend is not recognised as a liability in this statement.

Approval

This statement was approved by the board of directors on 12 March 2026 and signed on its behalf by the chair and the secretary. A full set of accounts, including the statement of financial position and the cash flow statement, is available from the registered office on request.